



Financial reports

Creating an effective bookkeeping system allows you to produce financial reports to help monitor the financial health of your business, such as a balance sheet (see box, below right). Prepare a profit and loss statement, also known as an income statement, to assess how profitable your business has been over a specific period—comparing revenues with expenses. Create a statement of cash flow (see pp.160–161) to show how money is moving through the business and your ability to pay its bills. Use these reports to help you make informed business decisions, such as setting budgets, assessing costs, and measuring business performance. Study them closely, looking for potential irregularities and problems as soon as they occur in order to prevent them from developing further.

Debits

Debits record all monies flowing into your business. Although the stock has yet to be sold, the debit entered represents the value of the extra stock that you have purchased.

Credits

Credits record all monies flowing out of your business. Although you have not yet paid for the stock, they will have to be paid for in the future, so they are entered as a credit.

Balanced total

Totals record the sum amounts of both the credit and debit columns, which should match or “balance.” If the totals do not match, check the entries in both columns for errors.

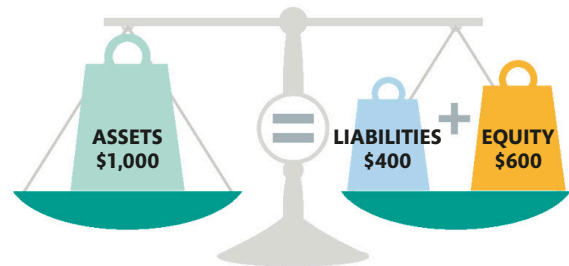


NEED TO KNOW

- › **Assets** are the cash and resources owned by the business, including equipment and stock. It also includes accounts receivable, which are sales that have been made for which money is outstanding.
- › **Liabilities** are the business debts, such as bank loans and accounts payable—money owed by the business.
- › **Equity** is what is left after the total value of business liabilities is deducted from the total value of your assets.
- › **Income** is your revenue—the money you receive from sales of goods or services, or from investments and dividends.
- › **Expenditure** is the money you pay out for goods, materials, services, salaries, rent, utilities, etc.

THE BALANCE-SHEET EQUATION

Provided that your bookkeeping is correct, the assets on your balance sheet should equal the sum of your liabilities and equity. A balance sheet is like a health check for your business. If liabilities are proportionately low and equity high, you will be in a better position to expand—or weather downturns in the economy.



“Accounting is the language of business... a little study, early on... pays off big later on.”

Warren Buffet, CEO of Berkshire Hathaway, 2014